FREEMIUM BUSINESS MODELS



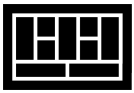
THE BUSINESS
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SUPER GUIDE:

FREEMIUM BUSINESS MODELS

BY DANIEL PEREIRA



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INTRODUCTION

There's no easy way to get additional clients without incurring an additional cost of acquisition, so businesses are always seeking new and cheaper ways to bring in customers. This is because customers are becoming wary of traditional marketing approaches and would like to know the benefits of your products before purchasing them.

As a result, you must first educate customers on your product or service's advantages and then build trust with them in order to persuade them to buy it. "We're trying to develop trust with users from their first session with the app", says JP Chookaszian, Director of Revenue at VSCO. "And we do that by demonstrating value without asking for anything from them first".

However, to educate customers, you need to invest in marketing efforts — such as advertising, sales demonstrations, etc. —, and these are often expensive.

That’s where freemium comes in. Freemiums are one of the most affordable methods of attracting customers that most businesses in applicable industries can adopt. It is a pricing strategy that demonstrates to users the value your products can provide them through basic or feature-limited products or services.

The effectiveness of freemiums can be deduced from the fact that most of the apps on the Google Play Store (about 95%) offer basic versions that charge a premium for advanced features, while on the Apple side of things, these free apps make up 92% of the apps on the Apple App Store.

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However, while freemiums apply to most apps, SaaS (software as a service), games, education, entertainment, and online news apps are the most popular products and services that customers are most likely to pay for an upgrade.

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WHAT IS A FREEMIUM BUSINESS MODEL?

A freemium business model is essentially a business model where the products or services of a company are offered in their most basic form free of charge to customers, while requiring a fee to access locked-off advanced features only available to paying customers. These advanced features usually expand the functionality of the basic product or service.

There has been an upsurge in the utilization of this business model in web-based companies and mobile applications in the last decade. This can be attributed to the fact that most users can't justify paying upfront for virtual products and apps. However, after seeing its value and benefits, they can come to terms with their payment or subscription decisions.

When trying to adopt the freemium business model, you should understand the various features your product has so that you can decide on the type of limitations you can implement in your freemium.

Below, there are some limitations you can adopt to make sure you aren't offering too much to non-paying users, but also offering enough to make them see the value of your product, which will in turn convert them to paying customers.

Feature limitations:

- This includes offering just the feature-limited version of

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your product, while offering additional features for a fee;

- Having your paid features enhance the functionality of the existing features in the basic version;
- Offering ad-hoc paid upgrades. This can be used in games as in-app purchases for special items, tools, weapons, etc.

Usage quotas:

- This mostly comes in the form of monthly or daily credits;
- Storage limitations (e.g., Google Drive);
- Data processing quotas (e.g., some features in Google Cloud make use of data processing quotas).

Limited support:

- Most businesses that use freemiums also provide tiered payment plans, which may include varied access times to customer service and support resources (e.g., while free users may not have access to customer support, the next tier might have 12-hour access, while the top tier plan might have 24-hour access to customer service.).

The reason for using these tactics is to create friction for free users in the utilization of your services and products. This will most likely prompt them to purchase a paid plan with little to no service friction.

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RELATED CONCEPTS TO FREEMIUM BUSINESS MODELS

FREE TRIALS

While the freemium business model allows your customers to test your basic product however they want, with as much freedom and flexibility as they want, and for however long they want, a free trial gives them access to the whole product, including the premium features, for a limited amount of time.

Along with that, most free trials require users to submit their payment details during registration. While this can be a turn-off for most people, others plan out their days to be ready to unsubscribe just before they are charged. However, if they don't cancel it, they will get charged for the product.

Free trials are not as effective as freemiums in getting customers to sign up for your product or services because of their inherent tendency to turn off customers.

NETWORK EFFECT

Another related concept is Network Effect. This means that your product or service becomes more valuable as more people start using it. Tinder is a good illustration of this, as it

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derives value from the large user base that it has, as well as from the ability this gives its user base to swipe through a variety of people.

Bharat Anand, a professor at Harvard Business School, explains that as buyers or sellers for a business increase in number, so does the willingness of a buyer to pay.

He is, however, explaining the second type of network effect, the **indirect network effect**, which essentially is the increase of a certain segment of users because another segment has increased. This means that as more consumers enter a market, the number of producers is bound to increase.

The other type, the **direct network effect**, refers to the increase in the value of a product or service because more people are using it.

To get more users to convert to paying customers using the network effect, you must increase the switching cost. This can be in the form of increasing the usability of the product/service with more features and adding more data and information, so they get more value over time than if they had been using the free version of your product/service. This is necessary since the commitment of users reduces the more they use your product for free.

MICROPAYMENTS AND REPEATED PAYMENTS

While using the freemium business model means you don't have any initial charge for the product, it also means customers have to pay for additional features. That's where micropayments and repeated payments come in. This is usually evident in games, since they are usually built with the

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idea of offering in-app purchases in mind.

Because of the tendency for users to get addicted to a game or software, micropayments allow business owners enough leeway to charge for things like extra lives, special items, or a convenient feature in a dating platform. Because of the software or application's availability as a free product or service, it attracts more users. However, as they get addicted to or engaged with the product, they are more likely to pay for a feature within the product.

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TYPES OF FREEMIUM BUSINESS MODELS

TRADITIONAL FREEMIUM MODEL

This is the first type of freemium because all other freemium types were modeled after it. Its application means that you are offering users a feature-limited product free of charge, while other features are behind a paywall.

A few examples include Dropbox's basic account, the free-forever Zapier plan, Google Drive's basic plan, and Apple's free iCloud plan.

Unlike free trials, freemiums are available for free forever to users who have no intention of upgrading to a paid plan, and this "free forever" clause is expected by both the product or service provider and their free users. However, to convince users to upgrade to a paid plan, most companies implement tiered payment plans with specific plans targeted at free users who want more features but don't want to pay a huge sum of money. The gap between free users and the nearest tier payment plan is often referred to as the "penny gap".

LAND AND EXPAND MODEL

In this new type of freemium model, a company offers its product to users, and after it has gained a significant number of users in an organization, it approaches the executive of that organization and asks them to consider purchasing the

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premium version of its product, which allows employees using the product to be able to collaborate and interact with each other.

Under this type, the payment for the premium version doesn't concern the users but the organizations they work at, and in order to convince enough employees in the organization to adopt the product, advertisements are usually created and targeted specifically at that market segment, since only when enough users come from a certain organization can the company approach its executives.

A clear example of this can be seen in Alteryx, Atlassian, Twilio, Veeva Systems, Asana, Slack, Yammer, and Amazon Web Services (AWS). This model works exactly as its name suggests. After landing a significant number of users from an organization, the company expands its user base by convincing the organization's executives to upgrade to a premium version.

FREEWARE 2.0 MODEL

Under the freeware 2.0 model, you offer users a fully functional version of your product; however, they have to pay for additional features and/or add-ons. Mobile applications that adopt this model often bombard users with ads, with the option of paying to avoid seeing ads and for a few more features/add-ons.

While there isn't much difference between freeware 2.0 and traditional freemium, their few differences can be seen in Dropbox and Trello. Trello is freeware because you can use it forever for free without needing to pay for extra features like the ability to integrate it into other apps. However, if you want more features, you have to pay for them. Dropbox, on the other hand, offers users a limited storage size, which they will

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most likely fill if they are the real target audience, but to get more space they will have to pay.

Another example of freeware is LinkedIn, which is a fully functional product. However, if you are a recruiter or sales representative, its other features and add-ons that'll be beneficial to you are available for a premium. For normal users, the product is free forever.

This means that while freeware can be a full product with the option of add-ons, freemiums are feature-limited basic versions of products that have their other features behind a paywall.

ECOSYSTEM MODEL

This model is mostly used by open-source vendors who offer their base product/code for free while providing a marketplace for third-party add-ons/applications/extensions where third-party app providers have to pay to have their products listed in the marketplace.

A clear example can be seen in the Google Play Store, which provides most of its third-party apps free of charge for users but charges app publishers.

While the Apple App Store has a similar app ecosystem, it can’t be included since its base product is not free of charge (the iPhone/iOS) while Google provides Android as an open-source project.

Just like the freeware 2.0 model, the base product is fully-functional without third-party features.

Another example is the Chrome Web Store, which charges extension publishers an initial fee while the extensions are

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free for users. Also offered by Google, the Chrome browser is a fully functional product and is free of charge. However, on its Web Store, extension publishers have to pay a premium before listing their products on the store.

ALTERNATIVE PRODUCT STRATEGY

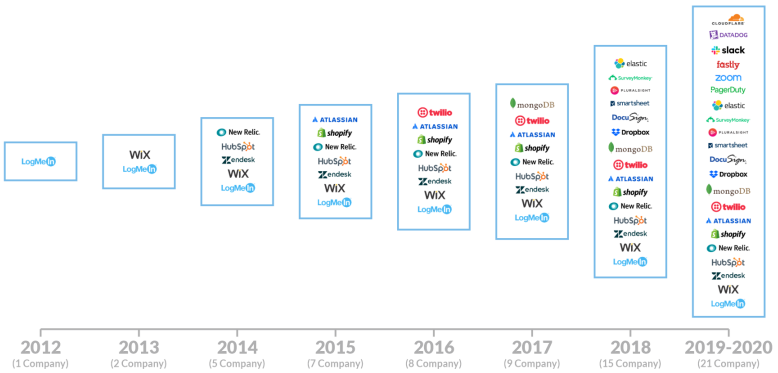
With this type of freemium, you also offer your base product for free with no clear upgrade to a paid plan. This is usually used by companies that have several high-quality products. The aim here is to cross-sell the company's other products to the free product's users.

The alternative product strategy is mostly used as a way for a company to get its "foot in the door" with plans of cross-selling the company's other products. And because the company's product line is of high quality, users of the free product will be expecting a quality product from the cross-sell. Also, the product that users will be offered in the cross-selling won't have a freemium version. However, some companies implement a free trial period to allow potential customers to experience the capability of the other product.

An example of a product that is used for this strategy is SketchBook Pro.

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CASES OF FREEMIUM BUSINESS MODELS



SKYPE

Skype offers free one-on-one video or audio skype-to-skype calls, as well as free instant messaging access. However, when you want to use Skype for making regular calls to mobile phones and landlines, you have to pay for a subscription or Skype credit. This also applies to SMS.

They also offer low international calling rates, but you'd have to move up a stage in their tiered subscription plans. To get access to Skype group video calls, you will have to pay for their highest subscription plan.

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LINKEDIN

LinkedIn is a platform/community that connects different professionals, recruiters, and companies. It also enables sales representatives, businesses, and recruiters to create business profiles for a fee in order to establish more formal connections with these professionals. As well, individual professionals can also pay a premium to stand out from others and gain better insight into their job applications.

LinkedIn also displays ads on its platform. And just like freeware, the initial product is fully functional, but more features require a premium to access.

SLACK

Slack is a popular messaging tool among businesses and their employees. As its fully functional base offering, the platform allows businesses or employees to set up a workspace for easy communication and interaction between each other, and they don't have to pay an initial fee, which makes the process easy since they don't have to wait for funding for the messaging tool.

Its free plan gives users access to one-on-one video and voice calls, as well as the ability to integrate the app across various other apps. However, there is a limit to how many previous messages can be viewed (10,000). While this limit can go unnoticed by small businesses and a handful of teammates, a big company will definitely notice. This is the point at which Slack's land and expand model fully kicks in.

Their other premium tier plans give users access to all of their previous messages as well as the ability to organize group video and voice calls of up to 15 teammates, and more. The platform also employs support limitations, and higher

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payment plans provide 24-hour customer service access and guaranteed response time. More features are also available with its highest payment plan.

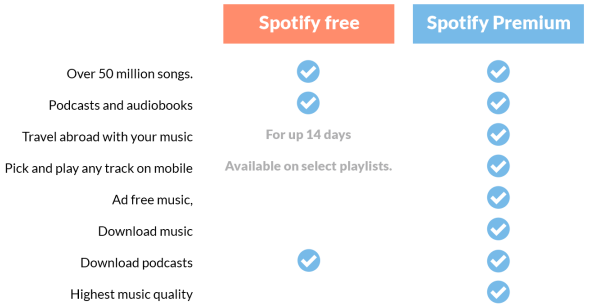
DROPBOX

Dropbox is a file hosting platform that offers users a limited amount of storage space in its freemium product version. The space is suitable for lightweight files like a few documents or a few high-quality images. However, it's bound to run out for regular users, who would then have to pay a monthly premium for more space and a few other extra features.

SPOTIFY

Spotify's free base product allows free users to experience a range of features. However, the limitations they have implemented for their freemium still remind these users that they could be getting so much more from the premium version. One of these limitations prevents listeners from skipping songs on a playlist. Another is the display of ads before playing songs at certain intervals, and the inability to download songs for offline listening. All of these limitations can be removed by free users upgrading to a monthly subscription.

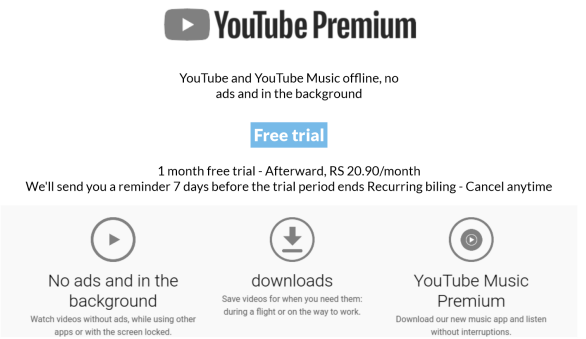
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YOUTUBE

With its large user base, YouTube adopts the freeware business model of showing ads to free users and prompting them to upgrade to remove ads and get extra features.

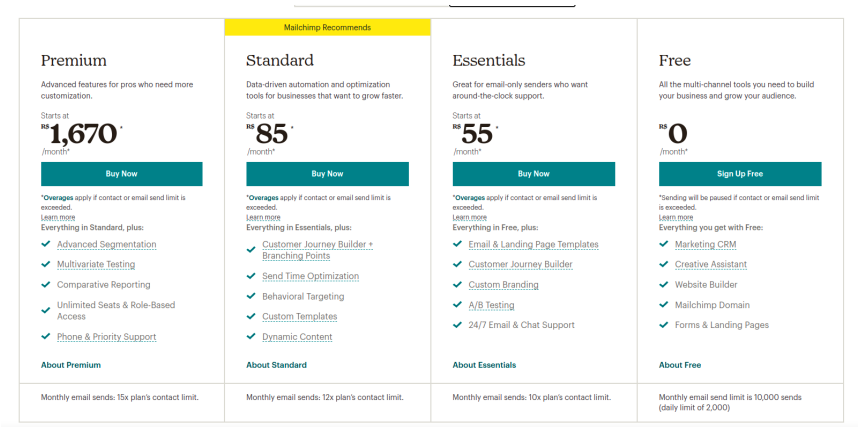
While it's a fully functional base product, YouTube's ads can be quite annoying, and when some users get fed up with constant ads before videos or in the middle of videos, the idea of paying to remove ads becomes a favorable option.



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MAILCHIMP

Mailchimp is an email marketing service with a rather generous freemium base product that can be “just enough” for small businesses. However, you will need to upgrade to one of their other tier-based subscription plans if you want to send a lot of newsletters each month or if you want to reach more than 2,000 email subscribers with your newsletters. Mailchimp’s implementation of a freemium model, unlike its competitors, has allowed it to increase its user base to over 12 million users.



Premium	Standard	Essentials	Free
	Mailchimp Recommends		
Advanced features for pros who need more customization.	Data-driven automation and optimization tools for businesses that want to grow faster.	Great for email-only senders who want around-the-clock support.	All the multi-channel tools you need to build your business and grow your audience.
Starts at R$ 1,670* /month*	Starts at R$ 85* /month*	Starts at R$ 55* /month*	R$ 0 /month*
Buy Now	Buy Now	Buy Now	Sign Up Free
*Overages apply if contact or email send limit is exceeded. Learn more	*Overages apply if contact or email send limit is exceeded. Learn more	*Overages apply if contact or email send limit is exceeded. Learn more	*Sending will be paused if contact or email send limit is exceeded. Learn more
Everything in Standard, plus:	Everything in Essentials, plus:	Everything in Free, plus:	Everything you get with Free:
Advanced Segmentation	Customer Journey Builder + Branching Points	Email & Landing Page Templates	Marketing CRM
Multivariate Testing	Send Time Optimization	Customer Journey Builder	Creative Assistant
Comparative Reporting	Behavioral Targeting	Custom Branding	Website Builder
Unlimited Seats & Role-Based Access	Custom Templates	A/B Testing	Mailchimp Domain
Phone & Priority Support	Dynamic Content	24/7 Email & Chat Support	Forms & Landing Pages
About Premium	About Standard	About Essentials	About Free
Monthly email sends: 15x plan’s contact limit.	Monthly email sends: 12x plan’s contact limit.	Monthly email sends: 10x plan’s contact limit.	Monthly email send limit is 10,000 sends (daily limit of 2,000)

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CRITICAL SUCCESS FACTORS OF FREEMIUM BUSINESS MODELS

VALUE PROPOSITION – FREE VS. PREMIUM

When building your freemium product, you should have your premium product in mind so as to create a product that gives users an insight into the value your product can offer. In essence, your freemium should address your audience's pain point, be of high value, and should be enticing enough to get free users to test out your product and then move on to a paid plan. Your product should, however, leave a gap that can only be filled by your premium product/extra features.

You could also adopt free trials as part of your freemium model. This creates an urgency to pay on the part of your free trial users. For instance, you can have a freemium product and a premium product that, on a user's registration, offers them a free trial to test out the premium product. At the end of the free trial period, users that haven't upgraded to a paid plan can then be moved back to the freemium. The risk of losing important features might be enough to urge some users to pay for the premium.

Because of the feature gap your base product and its

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premium counterpart have, some users who didn't upgrade before the end of the trial might be convinced to pay for your premium at a later date.

THE RATIO OF FREE VS. PAYING CUSTOMERS

While keeping a record of just the number of paying customers can be seen as the most important of these two, keeping the ratio of free vs. paying customers can help in various aspects of your business.

- First, it can assist you in determining your conversion rate and the efficiency of your sales funnel;
- It can also help you out when you are dealing with calculations related to the financing of your business. Due to the significance of this ratio, investors will frequently inquire about it when deciding whether to invest in your freemium business, since it helps them understand your conversion rate;
- While the two previous reasons can be said to be of great importance, the fact that knowing the ratio of free vs. paying customers can help you determine whether you are giving away too much in your free product cannot be overemphasized;
- This ratio is crucial because it provides you with knowledge and data that you can use to assess the likelihood that your free users will switch to a paid plan. This ratio can be helpful when assessing user behavior, since it incorporates (albeit indirectly) in its calculation the six main freemium conversion factors that were outlined in a study published in the Journal of Electronic Commerce.

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EASY ONBOARDING

An onboarding process is a process of telling, showing, or demonstrating to your new users the different features your product has and how to make use of them. Some SaaS companies do this by using an overlay on their web pages to show new users how to go about getting started with, for example, creating new projects in their online video editing software. Some web-based companies also onboard their users through a series of emails that are sent over a period of time.

The faster or simpler your onboarding process or the easier it is for users to learn about your product by themselves, the more they stick around. Because it is usually the first impression a user has of your product and shows them the value they can derive from it, you must make it as easy as possible.

However, while making it as easy as possible for new users to know how to use your product for the first time, make sure to not show too much to confuse them, and don't bombard them with too many emails to make them unsubscribe from your email list. A balance between too little and too much should be the aim here, since it can increase the chances of free users converting to paying users.

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HOW TO DEVELOP A FREEMIUM BUSINESS MODEL

CANVAS

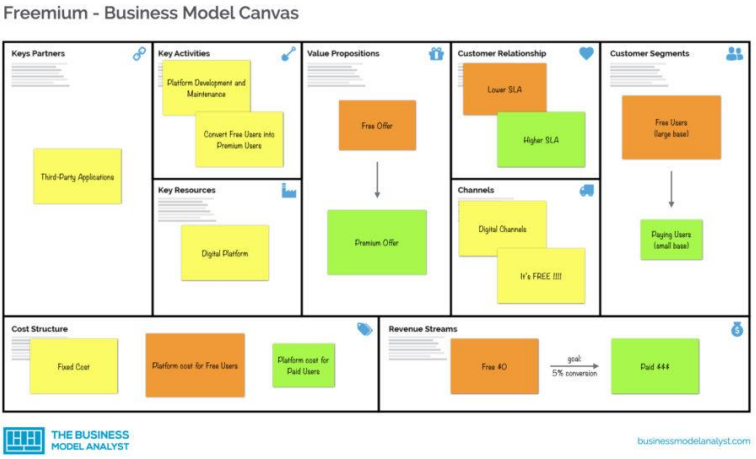
When creating a freemium business model, you should try to understand what your target audience needs and wants to see in a product like yours. You should list out the features that they would like to see in the free product and the ones that should be in the premium product (these should be attractive enough to make them upgrade). To ensure that people want to use your free and premium product plans, make the two of high quality since a low-quality free plan will make them believe your paid plans will be subpar, and a high-quality free plan and low-quality premium would lead to high subscription and payment terminations and rapid user churn.

Even if you hit the sweet spot of high-quality free and premium product plans, not-so-good pricing can still hinder conversion. This means you should find the best prices that your target market is willing to pay (you can do this via competitor research and user surveys). You should also adequately describe what features will be available in your free plan and premium plan. Make sure to avoid overpromising, underpromising, and exaggerating the effectiveness of your product's features.

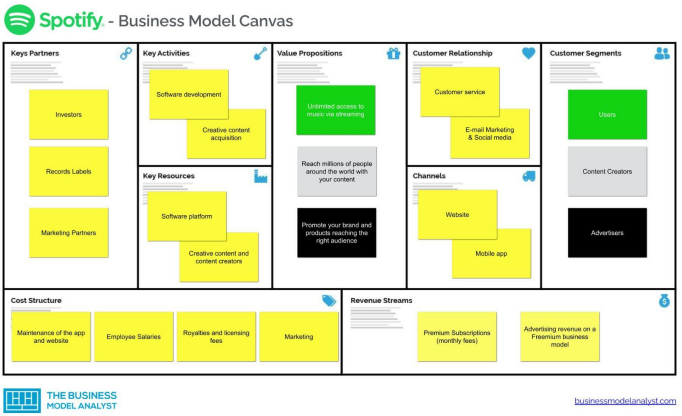
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Finally, put in place mechanisms that will track certain metrics that are useful for gauging your freemium model's success and customer satisfaction. While running your business operations, add new features, improve old ones, and carefully adapt to an ever-changing competitive, and market landscape.

A generic Canvas example

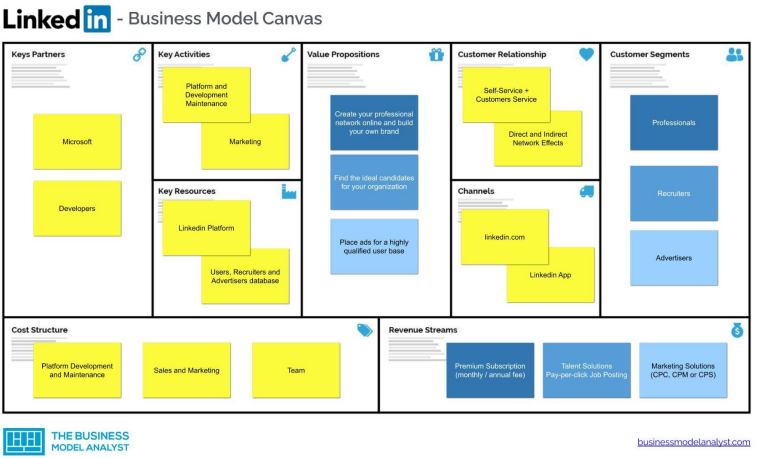


Spotify Canvas example



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LinkedIn Canvas example



WHAT SHOULD BE FREE?

When deciding on what should be free and what shouldn't be, you should first check out the competitive landscape to see what your competitors are giving away for free. This should guide you to some extent in deciding. However, if you decide to go another route parallel to your competitors, you should have a good reason for your customer why you decided to make some features available in the free product and lock others behind a paywall. These reasons can be displayed in your ad campaigns and other promotional content that you use.

After deciding on free and paid features, the next thing to do is to properly communicate this to your audience. Poor communication of these features and their placements can do a few things:

- Promising too many features or exaggerating the effectiveness of features available in your paid plan can lead to fast customer churn after they have paid

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for your product;

- Promising too little or listing fewer features than you have won't be enough to convince potential customers that your product is worth their money.

This means that you should find a balance between the two that clearly communicates and enticingly describes what you have in stock for both premium users and free users.

EXTRACT VALUE FROM FREE USERS

Because free users can put a lot of stress on company resources, you should find a way to gain something from them. There are a couple of ways to do this, and they include:

- Implementing ads as a source of revenue from free users. YouTube, for example, shows ads to free users either before a video plays, while a video is playing, or when the video has ended. This model of ad display can help reduce the cost of sustaining free users and also puts pressure on those users to upgrade and stop seeing annoying ads. When they upgrade, instead of relying on their ad revenue, you can now rely on their monthly, quarterly, or annual subscriptions;

- By having a quality free product, you can extract value from free users through their referrals to friends, colleagues, and family. These referrals can bring in more traffic and more revenue via subscriptions or ads;

- You can also get free feedback from free users, as well as free beta-testers, which can help you fine-tune and better optimize your products and services.

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LEARN CONTINUOUSLY FROM USER BEHAVIOR

The freemium business model gives you the needed data to better optimize your premium product via the assessment of user behavior. This is because implementing a freemium model means more users can access your product, and when they do, you can monitor the features they use the most to understand what's really important to them. Then you can adjust the limits you place on your free product in order to improve your freemium conversion rate.

Additionally, as mentioned before, since the freemium business model often brings in more users, you can garner more user feedback from their behaviors, which should both, directly and indirectly, reduce your research costs, since you now have a lot of data to understand what users like the most, what they need the most to better optimize their workflow, and what they don't use or don't like in your product. This also means you now have a large data source for optimizing features and the product as a whole via experiments.

BE COMMITTED TO ONGOING INNOVATION

It's important to view freemium as a revenue strategy, not just a customer acquisition tool. You shouldn't just stop using a freemium model when signups and upgrades slow down. To keep bringing in new customers and maintain high upgrade rates, you must constantly raise your product's value. Forward-thinking businesses see freemium as a commitment

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to innovation, as they remain committed even when fewer customers are upgrading or signing up. Dropbox, for example, remains innovative by continually improving its features and adding new ones, both in the premium version of its product and the free one.

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PROS OF FREEMIUM

FASTER USER ACQUISITION

Freemiums allow businesses to attract prospective leads and gather information about their current audience concerning their target paying audience. It also allows businesses to gain more brand exposure at a fraction of the cost of support resources. Along with that, since customers converting from the free product to the premium product are product-qualified leads, the cost of user acquisition is made cheaper and conversion becomes somewhat faster.

With the application of freeware advertisement displays, the freemium business model allows businesses to generate revenue via their free product. It also allows businesses to increase their market share in their various distinctive industries.

BUILT-IN UPSELL OPPORTUNITIES

Another benefit of freemium is that it provides companies with the opportunity to show free product users what they are missing by not upgrading to a paid plan. Grammarly does this perfectly by occasionally showing free users sentence corrections that are only available to their subscribers.

By showing them how the features available in the paid plan can benefit them, you have a good chance of converting them. You can achieve this by occasionally giving them access to a few premium features, displaying videos on their

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dashboards demonstrating the effectiveness of the premium product, or sending them emails about premium features that can more effectively streamline their workflow.

EASIER BETA TESTING

When you focus solely on using a paid plan, you limit yourself to the number of users who are willing to pay. However, by implementing a freemium business model, you have access to a larger user base that can provide you with feedback on your product's features. Also, with the large user base from your freemium, you can find lots of people who will be willing to beta-test your product’s new features.

FURTHER MONETIZATION OPPORTUNITIES

As mentioned above, your free product users are an ad revenue source to supplement your revenue from your premium product. And since using a freemium means more people are likely to sign up for your service, you can increase your ad bid costs since you have a large user base.

Additionally, more users mean greater brand exposure. If your free product is of high quality, this can translate into increased word-of-mouth brand exposure, which can increase revenue from both ads and subscriptions for your premium product.

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CONS OF FREEMIUM

SOME FREE USERS NEVER CONVERT TO PAID USERS

While the conversion of product-qualified leads is possible, that cannot happen when you don't nurture free users properly. Without keeping this nurturing process in mind, you might end up giving too many features away in your free product while expecting users to convert automatically.

Even though many businesses do this (they assume that free users will convert automatically), it can result in low conversion rates and, as a result, they end up with little to no ROI.

Nurturing free users via occasionally reminding them of your premium features or periodically giving them a glimpse of the capabilities of your premium product is important and should be a major component of your freemium business model.

However, while nurturing them, you should keep in mind that not all free users will eventually convert.

TOO MANY FEATURES

As mentioned before, having too many features available in your free product can hinder the conversion of your freemium users, since they will see no reason to spend their money on your premium features.

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As a result, you should find a balance of features that will give free users a preview of your premium product's capability, as well as keep them interested in your free product. This can be done via market research — understanding the pain points of your target audience and taking note of the features your competitors keep behind a paywall.

Some games achieve this balance by slightly raising the level of difficulty while continuing to offer special items that can make the game as simple as in-app purchases.

NO EVOLUTION

If your free product doesn't occasionally introduce new and exciting features, your users might eventually get tired of it.

While similar, the introduction of new features to your free product doesn't mean giving too many features away. Take Dropbox, a product that was originally a file backup service. However, as they evolved, they began offering users the ability to share folders with each other. Their next innovative feature was the implementation of automatic syncing of users' files across their devices, along with automatic image backup. While all these features were also introduced in their free product, paying customers were offered more seamless and limit-free implementations of these new features, thus increasing the value offered to them.

STRESS ON COMPANY RESOURCES

While free users might not be taking up your customer support resources, they are making use of your server bandwidth and space. If too many features are being given away or there are too many free users, this can translate to substantial losses for your business.

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Similarly, if your product doesn't accurately target the pain points of your free users or doesn't show the additional value the premium product can offer them, you might lose a lot of money you've already spent on their acquisition.

Even while considering conversions from your freemium product-qualified leads, your marketing and sales teams still have to do a lot of work nurturing these users and convincing them to convert. If, however, your product isn't perceived to be worth their cash, you will have wasted all those company resources and efforts on a lost cause.

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METRICS FOR FREEMIUM BUSINESS MODELS

ENGAGEMENT

Net Promoter Score, or NPS, is an easy-to-understand metric for assessing customer satisfaction and engagement levels through surveys. An example would be a survey that goes thus: “On a scale of 1 to 10, how do you feel about X product?”

On this scale of 1 to 10, there are three different customer categories: Promoters (9 & 10), Passives (7 & 8), and Detractors (0–6).

While detractors are less engaged and are likely to churn and also give your brand negative exposure, passives are neutral and a few improvements and reach out here and there can make them more engaged and turn them into promoters. Promoters do as their name suggests: They promote your business to their friends and family, as well as colleagues. In essence, they are extremely engaged.

By accurately measuring and calculating your NPS, you can find out how effective your product is at alleviating customer pain points and keeping them engaged.

The data above shows the increasing importance of having a freemium business model. This is because most prospective customers expect you to somehow show them the value of

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your product and its effectiveness in addressing their needs before they spend their money. And this can easily be achieved by implementing a freemium model.

Because customers often expect it, using a freemium model on a quality product can help you raise your NPS — essentially customer satisfaction — this will indicate that your free users are satisfied and engaged, and because they are engaged, they will stick around longer, giving you more time to nurture and convert them to paying customers.

While a poor NPS is possible even with a freemium model, it shouldn't be regarded entirely as a bad thing, since it gives you an opportunity to analyze what areas of your product aren't fulfilling user needs. If this turns out to be a feature locked away in your product's premium plan, then you can either ignore it or find a way to reduce the feature gap but still keep enough limits on the freemium version of that feature so that users still have to convert to experience total freedom when using that feature.

CUSTOMER ACQUISITION COST

Customer Acquisition Cost, or CAC, is the total expense incurred by your sales and marketing efforts when trying to convert individuals into leads and from leads to customers.

Average CAC differs for different industries, so there's no preset CAC you should be aiming solely for. You should, however, see a decrease in your CAC when you move to a freemium business model. This is because product-qualified leads (leads who have seen the value of your product through hands-on experience) are so much easier to convert than other types of leads.

While it shouldn't be considered a goal, businesses without a

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freemium business model typically spend between $100 and $160 on acquiring a single customer, as opposed to $135 for freemium businesses.

That being said, a few factors should be put in place to ensure your freemium is as effective as it can be. One such factor is the appropriate placement of access points. This in effect means users should easily be able to see upgrade buttons that allow them to move from free users to premium users.

RETENTION

Retention as a freemium business model metric measures how long you retain active users.

More user retention is achievable with a freemium model. This can be seen in the fact that over the last few years, businesses that have adopted the freemium model have witnessed a greater growth in user retention than businesses that haven't. This is because users are not required to pay for freemium products since they can opt to continue seeing ads, and as such, they can easily include them in their workflow and daily routine.

To see the benefits of a freemium business model in regard to retention, first of all, define what you mean by active use. For an app like TikTok, an active user would be someone who is either watching videos or live streams, commenting, or reading comments, whereas, for Facebook Messenger, an active user would be someone chatting with friends, colleagues, and family.

After defining what it means, choose a certain period that can be comparably measured with when you weren't using a freemium business model. For example, if you have a record

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from May to June 2021, when you weren't using a freemium model, you should ideally compare it to a record from May to June 2022, when you were using a freemium model.

Compare the two to determine whether your company has benefited from changing your business model.

MONETIZATION

Although the reasons for implementing a freemium may differ, its primary goal is to increase the number of paying customers. As a result, the only way to measure the success of your freemium is to keep track of the number of people who switched to your premium product as a result of the freemium.

To check the success of the freemium model, compare your current revenue to the periods when you didn't have a freemium product. While this is a straightforward calculation, this metric is important since it can either validate your new freemium model or show you that there is no need for it. The former is often the case, however.

While a high conversion rate from your free product is good and means more revenue, if it gets too high, you might start experiencing lower conversion rates since you've reached your maximum growth capacity (this usually happens in industries where the target audience isn't large).

A low conversion rate from the get-go means your audience and free users don't see the need to upgrade to your paid plan. This can either be an indication of too many features in the free plan or that your product doesn't properly address the needs of your target audience. This will result in low revenue generation.

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REVENUE METRICS

Average Revenue Per User (ARPU) and Average Revenue Per Paying User (ARPPU) are metrics that communicate how much money users are spending. With ARPU, a user's value is measured throughout their lifetime as a customer. It also allows for a better assessment of the behavior of huge user groups. But these averages may not properly indicate user behavior, since only a few users are paying customers while most are free users.

As indicated below, when using a freemium business model, the customer lifecycle funnel metrics on the left side are more important than the sales funnel metrics on the right. However, that is not to say you shouldn’t keep in mind the metrics on the right. This is due in part to the fact that some users do not usually need to try your free product before moving on to the paid ones.

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CONCLUSION

While the freemium business model is a sure way of reducing CAC and avoiding complex sales processes by showing customers the value of your product and earning their trust, you have to first know if it applies to your business, and that can only be done when you know and understand your target market.

For this reason, you should conduct adequate research, and, after you've done that, you should choose the features that should be included in your free plan and those that should be in the premium plan, without setting unrealistic expectations. While doing this, be sure to evaluate whether the free plan's features are effective at luring users in rather than driving them away. If you've done your feature apportioning right, the former should be the case and should result in increased market share and a higher conversion rate.

To help with conversion rates, most industries using this business model — especially SaaS businesses — are beginning to adopt AI-based personalizations to assist with user behavior assessments, which can help in the appropriate setting of product prices. Over time, the implementation of machine learning and better analytics tools will help this sector and business model better optimize feature distribution and pricing to maximize revenue generation.

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